

The ensuing development has been wave X, which is a phase of interruption between two corrective patterns. The section below details *The Elliott Wave Theorist's* progress in postulating and tracking wave X. If you would like to skip this technical discussion, you may turn to the section entitled **ANALYSIS**.

Details of Wave X

While suggesting in July 1982 that "both traders and investors should enter the long side," *The Elliott Wave Theorist* recognized from the onset of the advance that it was to be a temporary interruption of the bear market, not the start of a new bull market. At that juncture, the form that the interruption would take was unknown, though it was quite certain not to contain new highs.

At the peak of the first rally, *The Elliott Wave Theorist* took decisive action, as revealed by the following commentary from the February 7, 1983 issue:

The \$550 area is a good place to look for "top tick" in the current rally. Tactically, I think it is prudent to sell out on strength in this area over the next several weeks. If I am right, you will be selling out at the top.

Eight days later, the price of gold peaked at **\$511.50** basis London fix and \$514 basis futures. It has not seen that price since.

More important for analytical purposes, the March 7, 1983 issue postulated that the bear market rally might be an "X" wave, which is a rally separating two three-wave declines, labeled W and Y. Since the first decline was a "zigzag," the entire pattern would be called a "double zigzag":

Just as convincing [as the rally being wave ②] is the possibility that a double zigzag is forming. It is interesting that by this count, wave X in gold has retraced 38.8% of the first ①-②-③, a nearly perfect occurrence of the Fibonacci **38.2%** retracement that usually occurs in this wave position.

A year later, the February 1984 issue postulated that wave X would be a *complex* pattern, implying additional rallies and declines within the recovery before the bear market would produce its final decline, wave Y. Wave ② of X ended in 1986, registering the lowest price for gold so far in the bear market, right at the original downside target. The decline had a three-wave structure, fitting the